



SPECIAL WARRANTY DEED IN LIEU OF FORECLOSURE

DRAFT — NOT FOR USE. Must be reviewed and approved by a licensed Texas real estate attorney before use. This is the operative conveyance instrument and the only document in the workout packet that gets recorded. The non-merger recitals in Sections 4 and 5 are the basis for Grantee's remedy against junior liens and must survive review.

NOTICE OF CONFIDENTIALITY RIGHTS: IF YOU ARE A NATURAL PERSON, YOU MAY REMOVE OR STRIKE ANY OR ALL OF THE FOLLOWING INFORMATION FROM ANY INSTRUMENT THAT TRANSFERS AN INTEREST IN REAL PROPERTY BEFORE IT IS FILED FOR RECORD IN THE PUBLIC RECORDS: YOUR SOCIAL SECURITY NUMBER OR YOUR DRIVER'S LICENSE NUMBER.

THE STATE OF TEXAS §

§ KNOW ALL PERSONS BY THESE PRESENTS:

COUNTY OF {{COUNTY}} §

Date: {{SETTLEMENT_DATE}}

Grantor: {{BORROWER_ENTITY}}, a {{BORROWER_ENTITY_TYPE}}

Grantor's Mailing Address: {{BORROWER_ADDRESS}}

Grantee: LAZY DOG CAPITAL LLC, a Texas limited liability company

Grantee's Mailing Address: 3400 N Central Expy #110-217, Richardson, Texas 75080

Consideration: Ten and No/100 Dollars (\$10.00) and other good and valuable consideration, including the agreements of Grantee described in Section 3 below, the receipt and sufficiency of which are acknowledged.

Property: All that certain tract or parcel of land situated in {{COUNTY}} County, Texas, more particularly described on **Exhibit A** attached and made a part of this deed, together with all improvements, fixtures, rights, privileges, easements, and appurtenances belonging to it, commonly known as **{{PROPERTY_ADDRESS}}**.

Reservations from Conveyance: None.

Exceptions to Conveyance and Warranty: Ad valorem taxes for the current year and subsequent years, not yet due and payable, which Grantee assumes; and the matters set forth on **Exhibit B**, if any.

1. GRANT

Grantor, for the Consideration stated above, **GRANTS, SELLS, AND CONVEYS** to Grantee the Property, together with all and singular the rights and appurtenances belonging to it, to have and to hold unto Grantee, Grantee's successors and assigns forever.

Grantor binds Grantor and Grantor's successors to **WARRANT AND FOREVER DEFEND** all and singular the Property to Grantee and Grantee's successors and assigns, against every person whomsoever lawfully claiming or to claim the same or any part thereof, **by, through, or under Grantor, but not otherwise**, subject to the Reservations from Conveyance and the Exceptions to Conveyance and Warranty.

2. DEED IN LIEU OF FORECLOSURE

2.1 This deed is given in lieu of foreclosure of that certain Deed of Trust dated {{CLOSING_DATE}}, executed by Grantor to {{TRUSTEE_NAME}}, Trustee, for the benefit of Grantee, recorded as Instrument No. {{DOT_INSTRUMENT_NO}} in the Official Public Records of {{COUNTY}} County, Texas (the "**Deed of Trust**"), securing a promissory note in the original principal amount of \${{LOAN_AMOUNT}} payable to Grantee (the "**Note**").

2.2 Grantor is in default under the Note and the Deed of Trust, and Grantee is entitled to enforce its remedies, including sale of the Property under Texas Property Code § 51.002. Grantor has requested that Grantee accept this deed in lieu of a foreclosure sale, and Grantee has agreed to do so.

3. ABSOLUTE CONVEYANCE

3.1 This deed is an absolute conveyance of all of Grantor's right, title, interest, and equity of redemption in and to the Property. It is given voluntarily, in good faith, and for the Consideration stated, and not under coercion, duress, or undue influence.

3.2 This deed is not intended as a mortgage, deed of trust, trust conveyance, pledge, or security of any kind. It is not given to secure the Note or any other debt or obligation.

3.3 Grantor retains no interest of any kind in the Property, legal or equitable, and no right of redemption, right of repurchase, option, reversion, remainder, or other continuing interest in the Property. Any contractual obligation of Grantee to Grantor arising in connection with this conveyance is a personal, unsecured obligation of Grantee and **does not constitute a lien on, security interest in, equitable interest in, or other interest in the Property.**

3.4 Grantor has had full opportunity to consult legal counsel of Grantor's own choosing regarding this deed and the transaction it completes.

4. NO MERGER OF ESTATES

4.1 It is the express intention of Grantor and Grantee that the fee simple title conveyed by this deed and the leasehold, lien, and security interests created by the Deed of Trust shall NOT merge. The estates are and shall remain separate and distinct.

4.2 The Deed of Trust, the lien created by it, and the Note secured by it are NOT released, discharged, satisfied, cancelled, or extinguished by this deed, and shall remain in full force and effect with the same priority they held immediately before the recording of this deed, until Grantee expressly releases the Deed of Trust by a separate instrument recorded in the Official Public Records of {{COUNTY}} County, Texas.

4.3 Grantee expressly reserves the right, at Grantee's sole option, to enforce the Deed of Trust and to foreclose the lien created by it, whether by non-judicial sale under Texas Property Code § 51.002 or otherwise, for the purpose of terminating and extinguishing any lien, encumbrance, claim, or interest in the Property that is subordinate or junior to the Deed of Trust.

4.4 Acceptance of this deed does not constitute payment or satisfaction of the Note, and does not release or discharge Grantor or any guarantor from liability under the Note, the Deed of Trust, or any guaranty, except to the extent expressly released by a separate written instrument executed by Grantee.

5. NOTICE TO SUBSEQUENT PARTIES

Any person examining title to the Property is placed on notice that the Deed of Trust described in Section 2.1 has not merged into the fee title conveyed by this deed, remains a valid and subsisting first lien against the Property, and may be foreclosed by Grantee notwithstanding Grantee's ownership of the fee estate.

6. GRANTOR'S REPRESENTATIONS

6.1 Grantor is duly organized, validly existing, and in good standing, and the execution and delivery of this deed have been duly authorized by all necessary action.

6.2 The Property is not, has never been, and was not intended to be the business or residential homestead of Grantor or of any member, manager, officer, principal, or guarantor of Grantor, and no such person claims any homestead right in the Property.

6.3 The loan secured by the Deed of Trust was made and used solely for business and commercial purposes.

6.4 Grantor is not conveying the Property with any intent to hinder, delay, or defraud any creditor of Grantor.

7. GENERAL

7.1 When the context requires, singular nouns and pronouns include the plural.

7.2 This deed binds and benefits Grantor and Grantee and their respective successors and assigns.

7.3 This deed is governed by the laws of the State of Texas.

EXECUTION

GRANTOR:

{{BORROWER_ENTITY}},

a {{BORROWER_ENTITY_TYPE}}

By: _____

Name: {{AFFIANT_NAME}}

Title: {{AFFIANT_TITLE}}

ACKNOWLEDGMENT

THE STATE OF TEXAS §

§

COUNTY OF _____ §

This instrument was acknowledged before me on the ____ day of _____, 20____, by
{{AFFIANT_NAME}}, {{AFFIANT_TITLE}} of **{{BORROWER_ENTITY}}**, a
{{BORROWER_ENTITY_TYPE}}, on behalf of said {{BORROWER_ENTITY_TYPE}}.

Notary Public, State of Texas

My commission expires: _____

(Notary seal)

PREPARED IN THE OFFICE OF:

AFTER RECORDING RETURN TO:

Lazy Dog Capital LLC

3400 N Central Expy #110-217

Richardson, Texas 75080

Exhibit A — Legal Description

Exhibit B — Permitted Exceptions *(list or state "None")*

TOKENS

{{COUNTY}} · {{SETTLEMENT_DATE}} · {{BORROWER_ENTITY}} · {{BORROWER_ENTITY_TYPE}}
· {{BORROWER_ADDRESS}} · {{PROPERTY_ADDRESS}} · {{CLOSING_DATE}} ·

{{TRUSTEE_NAME}} · {{DOT_INSTRUMENT_NO}} · {{LOAN_AMOUNT}} · {{AFFIANT_NAME}} ·
{{AFFIANT_TITLE}}

New token: {{TRUSTEE_NAME}} — the trustee named in the original Deed of Trust.

FILING NOTES

- **Legal description must match the Deed of Trust exactly.** Pull it from the recorded Deed of Trust or the prior vesting deed. A description that differs from the one in the lien instrument creates a gap between what you own and what your preserved lien covers.
- **Grantee's mailing address is required** on the face of the instrument under Texas Property Code § 11.003. Clerks reject deeds that omit it.
- **Original signature and notary seal required** — recorded copies are not accepted.
- **Do not record a Release of Lien.** The preserved Deed of Trust lien is the remedy against junior liens.
- **Exhibit B — Permitted Exceptions:** list only what Grantee is willing to take subject to. Anything listed here is an exception to the warranty. If nothing, state "None."